
A-Worthy Education

H2 Economics 9570 Study Suite

Document 40

Glossary of Definitions

Examiner-Accepted Phrasings for Every 9570 Term

How to Use This Glossary

Every entry contains: the term, the **examiner-accepted definition** (memorise this), a **plain-English gloss**, and where useful a **common pitfall** or example. Use the examiner phrasing in scripts. Use the plain-English gloss for understanding.

Why definitions matter

“Define” questions are typically worth 2 marks in CSQs and are awarded almost mechanically. Wrong, vague or partial definitions cost the easiest marks on the paper.

Contents

A — Allocative efficiency to Average revenue

Allocative efficiency

Definition. A situation in which goods are produced in the combination and quantities most desired by society, such that price equals marginal cost ($P = MC$).

Plain English. The economy is producing the right mix of goods.

Pitfall. Do not confuse with productive efficiency.

Aggregate demand (AD)

Definition. The total planned expenditure on domestically produced goods and services at each price level, in a given period. $AD = C + I + G + (X - M)$.

Plain English. How much the whole economy wants to buy.

Aggregate supply (AS)

Definition. The total planned output of goods and services by firms in an economy at each price level, in a given period.

Plain English. How much the whole economy is willing to produce.

Asymmetric information

Definition. A situation in which one party to a transaction has more or better information than the other party.

Example. Used-car sellers know more about the car than buyers (the “lemons” problem).

Automatic stabilisers

Definition. Features of the fiscal system that automatically reduce fluctuations in the business cycle without requiring discretionary government action, e.g. progressive taxes and unemployment benefits.

Average cost (AC)

Definition. Total cost divided by quantity produced. $AC = TC/Q$.

Average revenue (AR)

Definition. Total revenue divided by quantity sold. For a single-priced firm, $AR = P$.

B — Balance of payments to Budget deficit

Balance of payments (BOP)

Definition. A statistical record of all economic transactions between residents of one country and residents of the rest of the world over a given period. Comprises the current account, the capital account and the financial account.

Balanced budget

Definition. Government revenue equals government expenditure in a given fiscal year.

Barriers to entry

Definition. Obstacles that make it difficult for new firms to enter a market and compete with established firms (e.g. economies of scale, patents, brand loyalty, legal restrictions).

Budget deficit

Definition. A situation in which government expenditure exceeds government revenue in a given fiscal year.

Budget surplus

Definition. A situation in which government revenue exceeds government expenditure in a given fiscal year.

C — Capital account to Crowding out

Capital account (of the BOP)

Definition. The component of the balance of payments that records transfers of capital assets and acquisition or disposal of non-produced, non-financial assets.

Comparative advantage

Definition. The ability of a country (or firm) to produce a good at a lower *opportunity cost* than another country (or firm).

Pitfall. Comparative, not absolute.

Complement (in consumption)

Definition. A good consumed jointly with another good, such that a rise in the price of one reduces demand for the other (negative cross elasticity of demand).

Concentration ratio

Definition. The combined market share of the largest few firms in an industry, used as an indicator of market structure.

Consumer price index (CPI)

Definition. A weighted index of the prices of a representative basket of goods and services consumed by households, used to measure the general price level over time.

Consumer surplus

Definition. The difference between the maximum amount consumers are willing and able to pay for a good and the amount they actually pay.

Cost-push inflation

Definition. A sustained rise in the general price level caused by an increase in the costs of production, shifting the SRAS curve leftward.

Cross elasticity of demand (XED)

Definition. The responsiveness of quantity demanded of one good to a change in the price of another good. $XED = \% \Delta Q_d^A / \% \Delta P^B$. Positive for substitutes, negative for complements.

Crowding out

Definition. A reduction in private-sector spending caused by an increase in government spending, typically operating through higher interest rates or higher taxes.

Current account (of the BOP)

Definition. The component of the balance of payments that records exports and imports of goods and services, primary income, and secondary income (transfers).

D — Deadweight loss to Diminishing returns

Deadweight loss

Definition. A loss of total economic surplus that occurs when output deviates from the socially optimal level, e.g. under monopoly or in the presence of externalities.

Demand

Definition. The quantity of a good or service that consumers are willing and able to purchase at each possible price, over a given period, ceteris paribus.

Demand-pull inflation

Definition. A sustained rise in the general price level caused by an increase in aggregate demand, shifting the AD curve rightward.

Demerit good

Definition. A good whose consumption generates negative externalities and/or is over-valued by consumers due to information failure (e.g. tobacco, alcohol).

Depreciation (of currency)

Definition. A fall in the value of a currency in terms of another currency, under a floating or managed-float regime.

Devaluation

Definition. A deliberate downward adjustment in the value of a currency by the central bank, under a fixed exchange-rate regime.

Diminishing returns (law of)

Definition. As successive units of a variable factor are added to a fixed factor, the marginal product of the variable factor eventually declines.

E — Economic growth to Externality

Economic growth

Definition. A sustained increase in the real GDP of an economy over time. **Actual** growth refers to year-on-year changes in real GDP. **Potential** growth refers to an increase in the productive capacity of the economy (LRAS).

Economies of scale

Definition. A fall in long-run average cost as output rises, arising from increasing returns to scale (e.g. technical, managerial, financial, marketing economies).

Elasticity

Definition. A measure of the responsiveness of one variable to a change in another. Generic form: % change in dependent variable divided by % change in independent variable.

Equilibrium price

Definition. The price at which quantity demanded equals quantity supplied, with no inherent tendency to change.

Excess demand

Definition. A situation in which quantity demanded exceeds quantity supplied at the prevailing price (a shortage).

Excess supply

Definition. A situation in which quantity supplied exceeds quantity demanded at the prevailing price (a surplus).

Exchange rate

Definition. The price of one currency in terms of another.

Expansionary fiscal policy

Definition. A deliberate increase in government expenditure and/or reduction in taxation intended to raise aggregate demand.

Expansionary monetary policy

Definition. A central bank action intended to raise aggregate demand, typically through a lower interest rate or, in Singapore's case, a less appreciatory exchange-rate stance.

Externality

Definition. A cost or benefit imposed on a third party not involved in the production or consumption of a good, and not reflected in the market price.

F — Factors of production to Free-rider problem

Factors of production

Definition. The resources used in the production of goods and services: land, labour, capital and enterprise.

Fiscal policy

Definition. The use of government expenditure and taxation to influence the level of aggregate demand and the supply side of the economy.

Free-rider problem

Definition. A situation in which a non-payer can enjoy the benefit of a good (typically a public good) without contributing to its provision, leading to under-provision by the market.

G — GDP to Government failure

Gross domestic product (GDP)

Definition. The total monetary value of all final goods and services produced within the geographical boundaries of an economy in a given period.

Gross national income (GNI)

Definition. GDP plus net primary income from abroad. Measures the income earned by the residents of a country.

Government failure

Definition. A situation in which government intervention in a market produces a less efficient allocation of resources than would result from the free market.

H — Hyperinflation to Human capital

Hyperinflation

Definition. An extreme and accelerating rise in the general price level, typically defined as exceeding 50% per month.

Human capital

Definition. The stock of skills, knowledge and experience embodied in workers, raising labour productivity.

I — Imperfect competition to Investment

Imperfect competition

Definition. A market structure in which at least one assumption of perfect competition does not hold, giving firms some degree of price-setting power.

Income elasticity of demand (YED)

Definition. The responsiveness of quantity demanded to a change in income. $YED = \% \Delta Q_d / \% \Delta Y$. Positive for normal goods, negative for inferior goods.

Inferior good

Definition. A good for which demand falls as income rises (negative YED).

Inflation

Definition. A sustained increase in the general price level of an economy over time.

Information failure

Definition. A situation in which buyers or sellers lack accurate or complete information needed to make optimal decisions.

Investment

Definition. Expenditure by firms on capital goods (machinery, plant, software) or by households on residential construction, intended to raise future productive capacity.

J — Joint demand to Joint supply

Joint demand

Definition. A situation in which two goods are consumed together, such that demand for one rises with the other (e.g. cars and petrol).

Joint supply

Definition. A situation in which two goods are produced together such that an increase in production of one is accompanied by an increase in production of the other (e.g. beef and leather).

L — Labour force to Long-run aggregate supply

Labour force

Definition. The total number of people of working age who are employed or actively seeking employment.

Law of demand

Definition. Ceteris paribus, the quantity demanded of a good varies inversely with its price.

Law of supply

Definition. Ceteris paribus, the quantity supplied of a good varies directly with its price.

Long-run aggregate supply (LRAS)

Definition. The maximum sustainable output an economy can produce when all resources are fully and efficiently employed. Vertical in standard treatments.

M — Macroeconomics to Multiplier

Macroeconomics

Definition. The branch of economics concerned with the behaviour and performance of the economy as a whole — output, employment, inflation, and the external position.

Managed float (exchange rate)

Definition. An exchange-rate regime in which the central bank allows the currency to float within a band, but intervenes to manage its level or trajectory.

Marginal cost (MC)

Definition. The change in total cost resulting from producing one additional unit of output.

Marginal external cost (MEC)

Definition. The cost imposed on third parties from the production or consumption of an additional unit of a good.

Marginal private benefit (MPB)

Definition. The additional benefit accruing to the consumer of one additional unit of a good.

Marginal private cost (MPC)

Definition. The additional cost incurred by the producer of one additional unit of a good.

Marginal revenue (MR)

Definition. The change in total revenue resulting from selling one additional unit of output.

Marginal social benefit (MSB)

Definition. The additional benefit accruing to society from the consumption of one additional unit of a good. $MSB = MPB + MEB$.

Marginal social cost (MSC)

Definition. The additional cost incurred by society from the production of one additional unit of a good. $MSC = MPC + MEC$.

Market failure

Definition. A situation in which the free market fails to allocate resources to achieve allocative efficiency.

Market structure

Definition. The characteristics of a market — number of firms, barriers to entry, product homogeneity, information — that determine firm behaviour and market outcomes.

Merit good

Definition. A good whose consumption generates positive externalities and/or is under-valued by consumers due to information failure (e.g. education, healthcare).

Microeconomics

Definition. The branch of economics concerned with the behaviour of individual agents — consumers, firms and markets.

Monetary policy

Definition. Central bank actions to influence the cost and availability of money, with the aim of achieving macroeconomic objectives such as price stability.

Monopoly

Definition. A market structure in which a single firm is the sole supplier of a good with no close substitutes, protected by high barriers to entry.

Monopolistic competition

Definition. A market structure with many firms producing differentiated products, with low barriers to entry. Firms have some price-setting power in the short run.

Multiplier (Keynesian)

Definition. The ratio of the final change in national income to the initial change in autonomous expenditure. $k = 1/(1 - MPC_d)$ in the simple model, or $k = 1/(MPS + MRT + MPM)$ in the open-economy form.

N — National income to Normal profit

National income

Definition. The total income earned by the factors of production owned by the residents of a country in a given period.

Natural monopoly

Definition. A market in which a single firm can supply the entire market at a lower cost than two or more firms could, owing to very large economies of scale relative to demand.

Negative externality

Definition. A cost imposed on a third party from the production or consumption of a good, not reflected in the market price.

Non-excludable (good)

Definition. A property of a good whereby it is not possible to prevent non-payers from consuming it.

Non-rivalrous (good)

Definition. A property of a good whereby one person's consumption does not reduce the quantity available to others.

Normal good

Definition. A good for which demand rises as income rises (positive YED).

Normal profit

Definition. The minimum return necessary to keep a firm operating in its current line of business. Equal to the opportunity cost of the firm's resources.

O — Oligopoly to Output gap

Oligopoly

Definition. A market structure dominated by a small number of large firms, characterised by interdependence in decision-making and high barriers to entry.

Opportunity cost

Definition. The value of the next-best alternative foregone when a choice is made.

Output gap

Definition. The difference between actual real GDP and potential real GDP. Positive (inflationary) when actual exceeds potential; negative (recessionary) when actual is below potential.

P — Perfect competition to Public good

Perfect competition

Definition. A market structure characterised by many small price-taking firms, homogeneous products, free entry and exit, and perfect information.

Price ceiling

Definition. A maximum legal price set below the equilibrium price, intended to protect consumers; creates excess demand.

Price elasticity of demand (PED)

Definition. The responsiveness of quantity demanded to a change in own price. $PED = \% \Delta Q_d / \% \Delta P$. Negative by the law of demand.

Price elasticity of supply (PES)

Definition. The responsiveness of quantity supplied to a change in own price. $PES = \% \Delta Q_s / \% \Delta P$. Positive by the law of supply.

Price floor

Definition. A minimum legal price set above the equilibrium price, intended to protect producers; creates excess supply.

Producer surplus

Definition. The difference between the minimum amount producers are willing to accept for a good and the amount they actually receive.

Productive efficiency

Definition. A situation in which output is produced at the lowest possible average cost, i.e. at the minimum point of the AC curve.

Protectionism

Definition. Government policies that restrict international trade to protect domestic industries (e.g. tariffs, quotas, subsidies, non-tariff barriers).

Public good

Definition. A good that is both non-excludable and non-rivalrous in consumption, leading to free-rider problems and under-provision by the market (e.g. national defence, street lighting).

Q to R — Quota to Real GDP**Quota**

Definition. A quantitative limit on the volume or value of a good that may be imported during a given period.

Real GDP

Definition. GDP measured in constant prices, removing the effect of inflation. Real GDP measures the volume of output.

Recession

Definition. Two consecutive quarters of negative real GDP growth.

Returns to scale

Definition. The proportional change in output resulting from a proportional change in all inputs. Increasing, constant or decreasing.

S — Short-run aggregate supply to Supply

Short-run aggregate supply (SRAS)

Definition. The total planned output by firms at each price level, in a period during which nominal wages and other input prices are sticky. Upward-sloping.

Specialisation

Definition. The concentration of production by an individual, firm or country on a narrow range of goods, allowing comparative advantage to be exploited.

Stagflation

Definition. A combination of stagnant or falling real output, rising unemployment and rising inflation.

Subsidy

Definition. A payment by the government to producers or consumers, reducing the effective cost of supplying or consuming a good.

Substitute (in consumption)

Definition. A good that can replace another in consumption, such that a rise in the price of one increases demand for the other (positive cross elasticity of demand).

Supernormal profit

Definition. Profit in excess of normal profit. A signal for entry in a contestable market.

Supply

Definition. The quantity of a good or service that producers are willing and able to offer for sale at each possible price, over a given period, ceteris paribus.

Supply-side policies

Definition. Government policies aimed at increasing the productive capacity of the economy (shifting LRAS rightward).

T — Tariff to Total revenue

Tariff

Definition. A tax imposed on imported goods, raising the domestic price of imports and protecting domestic producers.

Tax incidence

Definition. The distribution of the burden of a tax between buyers and sellers, determined by the relative elasticities of demand and supply.

Terms of trade

Definition. The ratio of an index of export prices to an index of import prices. A rise indicates that each unit of exports buys more imports.

Total cost (TC)

Definition. The sum of total fixed cost and total variable cost. $TC = TFC + TVC$.

Total revenue (TR)

Definition. Price multiplied by quantity sold. $TR = P \times Q$.

U — Unemployment

Unemployment

Definition. A state in which a person of working age is willing and able to work, actively seeking employment, but cannot find a job.

Frictional unemployment

Definition. Short-term unemployment arising from the time taken to move between jobs in a dynamic labour market.

Structural unemployment

Definition. Unemployment arising from a mismatch between the skills or location of workers and the requirements of available jobs.

Cyclical unemployment

Definition. Unemployment arising from a deficiency of aggregate demand, associated with a recession or downturn.

V — Variable cost to Vertical integration

Variable cost

Definition. A cost that varies with the level of output (e.g. raw materials, hourly wages).

Vertical integration

Definition. The combination of two firms in different stages of the same production process, either backward (toward inputs) or forward (toward consumers).

W — Wage-price spiral to Welfare loss

Wage-price spiral

Definition. A self-reinforcing cycle in which higher prices lead workers to demand higher nominal wages, raising costs and further raising prices.

Welfare loss

Definition. The reduction in total economic surplus arising from an allocation of resources that deviates from the socially optimal level.

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